Fourth, water has to remain with the government as water is a merit good with many externalities. However, the private sector should be roped in to construct pipelines to bring water to residential and industrial areas. Likewise, the government can use the private sector to operate city and village supply networks as a concessionaire. Moreover, it should start recovering some part of the cost of water supply to ensure there is no wastage and so that it can make investments in maintaining the networks.

The utilities sector can improve upon its current share of 2.5 per cent of GDP to go up to 3–4 per cent by 2035. This would have considerable positive spin-offs.

Construction Could Be the Best Bet for 2035

The construction sector gave the largest fillip to India's growth in the first decade of the current century. It was also a major contributor to the slowdown of growth in the second decade of the current century. Construction of housing, dwellings, office buildings, factories, infrastructure and other structures has an enormous role to play in raising the GDP to $10 trillion by 2035.

The construction sector is often known as the real-estate sector. India's policy framework has not viewed the construction sector positively. Until the 1990s, even residential housing was considered unproductive and discouraged. The banking sector was prohibited from lending to the real-estate sector. It is still prohibited from lending for land purchase and for most types of real-estate projects. ECBs, or external commercial borrowings, cannot be availed for the real-estate sector.

Over the years, the policy has changed somewhat. Residential housing was upgraded to a productive sector. Banks were permitted to lend to individuals for buying and constructing houses. Banks were subsequently permitted to lend to affordable housing projects. Non-banking institutions